

THE BUZZ

BCI

GUARDED OPTIMISM

The *BT-C Fore Business Confidence Index* edged up to a hit a nine-year high in Q3. But companies remain cautious

BY SURABHI

12 | ► **BOUNTIFUL RAINS AND** the festive season seem to have lightened the mood of India Inc., which is hopeful of better demand conditions and profits in the coming months. But external challenges and the spectre of escalating conflict in the Middle East are keeping sentiments in check. There are also concerns about urban demand and potentially slower economic growth in the second half of the fiscal.

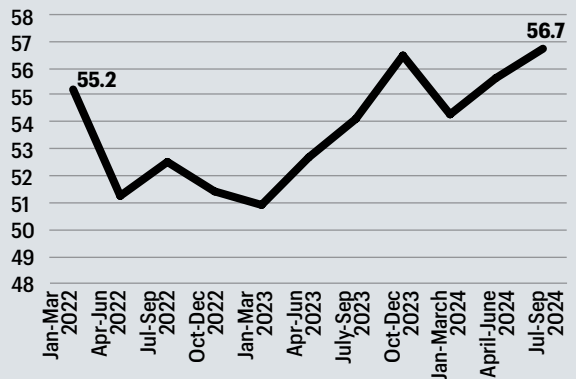
This mood of guarded optimism is reflected in the *BT-C Fore Business Confidence Survey* of 500 chief executive officers (CEOs) and chief financial officers (CFOs) for the September 2024 quarter, which revealed that the business confidence index (BCI) has increased to a nine-year high of 56.7 from 55.6 in the previous quarter. Prior to this, the BCI had risen to 56.5 in the December 2023 quarter before dipping to 54.3 in the next quarter. Since the June 2015 quarter, the previous high when the BCI touched 57.4, confidence kept moderating with marginal increases at times.

Recent high-frequency data also indicates that while the going is good for now, there could be some speed bumps ahead. Collections from the goods and services tax rose by 8.9% to ₹1.87 lakh crore in October from ₹1.72 lakh crore in the year-ago period. Auto sales jumped 32.4% year-on-year in October, and e-commerce sales are seen to have hit a new high this festive season. The International Monetary Fund, in its latest World Economic Outlook released in October, has also maintained its growth forecast for India at 7%.

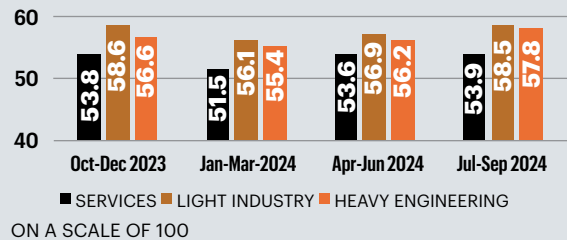
The HSBC Flash India Composite Output Index, which measures the month-on-month change in

On the Up

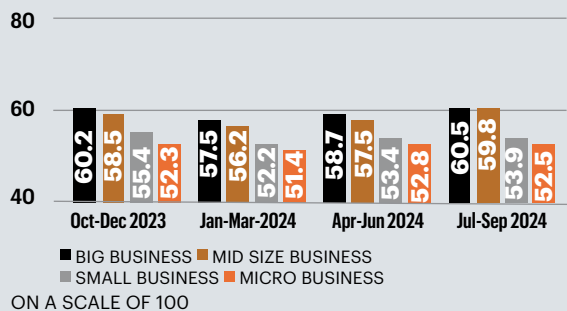
Business confidence: Nine-year High



Mood improves, but services cautious



Micro on the backfoot



Confident on demand and economy, but hiring remains subdued

